

MARKET PRICE		OUR FAIR VALUE (DCF)		UPSIDE TO OUR VALUE		CONSENSUS (MARKET)	
USD 217.34		USD 42.46		-80.5%		USD 300.00	
REVENUE	OPERATING MARGIN	FREE CASH FLOW	WACC	OUR FAIR VALUE (DCF)	CONSENSUS TARGET		
USD 215.9bn FY2026, +65% YoY	60.4% FY2026	USD 96.7bn FY2026	14.6% Discount rate (CAPM)	USD 42.46 -80% vs market	USD 300.00 what the market believes		

Reading the valuation. Our intrinsic DCF values NVDA at USD 42.46, against a market price of USD 217.34 and a Wall Street consensus target of USD 300.00 (the market's view, which our thesis weighs against). Holding every other assumption fixed, today's price implies first-year revenue growth of about 104%, decaying toward the terminal rate. Judge that against the reported history below rather than treating the rating as a forecast.

INVESTMENT THESIS

A strong business with exceptional margins, but at USD 217 the market prices in unsustainably high growth that we do not expect to materialize.

Business quality: Strong · **Stock:** SELL — NVIDIA demonstrates robust operating margins expanding to 60%+ by FY2026 and a leading position in AI-related technologies, reflecting strong competitive advantages.

What the market prices in. The current price implies an aggressive first-year revenue growth of approximately 104%, decaying thereafter, reflecting expectations of continued hypergrowth and margin expansion well beyond historical and sustainable levels.

What we expect. We forecast a more conservative 20% revenue growth in year one with margins stabilizing at 36.2% long term, reflecting normalization after recent extraordinary growth and margin spikes.

The gap. The market's optimism on near-term hypergrowth and sustained ultra-high margins is not supported by our fundamental analysis, resulting in an 80% downside to our intrinsic DCF value and justifying a sell recommendation.

Why SELL

- 1 Reverse DCF shows market pricing in more than 5x our year-1 revenue growth estimate, an unrealistic acceleration given recent 0% growth in FY2023.
- 2 Operating margins are expected to normalize significantly from the peak 60%+ levels to a sustainable 36.2%, reducing future cash flow potential.
- 3 Our probability-weighted scenario analysis caps fair value at USD 50, far below the current price, reflecting downside risk if growth disappoints.
- 4 Management's forward-looking statements highlight multiple execution and market risks, including supply chain and competitive pressures.
- 5 Consensus targets are overly optimistic relative to our conservative assumptions, increasing valuation risk if expectations reset.

Biggest catalyst. Disappointing quarterly revenue growth or margin contraction that signals the end of the current hypergrowth cycle, driving a sharp re-rating lower.

Biggest risk. Sustained acceleration in AI-driven demand leading to revenue growth and margin expansion materially above our base case, supporting higher valuations.

We would turn more positive if:

- Sustained quarterly revenue growth above 100% with expanding margins beyond 60%.
- Successful commercialization and market adoption of new AI products such as Blackwell and Vera Rubin.
- Improved supply chain conditions enabling higher shipment volumes, especially in China.

We would turn more negative if:

- Revenue growth falling below 15% in the next fiscal year.
- Operating margins declining below 30% due to competitive pressures or rising costs.
- Negative developments in geopolitical or supply chain factors limiting market access.

The case against our view. The market may be correctly pricing in a structural shift driven by AI adoption that could sustain hypergrowth and margin expansion, which our conservative model fails to fully capture, potentially making the current price justified.

BUSINESS OVERVIEW

NVIDIA's revenue is predominantly driven by its Compute & Networking segment, anchored in AI and data center demand, with sustained growth potential.

NVIDIA's business is structured around two main operating segments: Compute & Networking and Graphics, with Compute & Networking accounting for approximately 90% of total revenue in fiscal 2026 (\$193.5 billion of \$215.9 billion) [2]. This heavy skew indicates the company's core value proposition lies in providing accelerated computing platforms primarily for data centers, which generated \$193.7 billion in revenue in fiscal 2026 [3]. The dominance of this segment suggests NVIDIA's revenue model is highly dependent on large-scale AI and cloud computing infrastructure customers, rather than consumer graphics alone. This concentration is sustainable as long as AI and cloud computing demand continues to expand, but it could be vulnerable if these markets slow or if competitors erode NVIDIA's technological edge.

The company's revenue by end market further clarifies its customer base: Data Center computing and networking together form the vast majority of sales, with Compute at \$162.4 billion and Networking at \$31.4 billion in fiscal 2026 [3]. Gaming and Professional Visualization, while growing, remain much smaller contributors (\$16 billion and \$3.2 billion respectively). This segmentation reveals NVIDIA's strategic pivot from traditional gaming GPUs toward enterprise-grade AI and networking solutions. The shift is reinforced by the introduction of the Blackwell platform, which drives growth across data center and graphics segments [4][5]. The sustainability of this shift depends on NVIDIA maintaining leadership in AI hardware and expanding its networking solutions, as well as managing supply constraints noted in gaming [6].

Geographically, NVIDIA's revenue is increasingly concentrated in the United States, which accounted for \$149.6 billion or about 69% of total revenue in fiscal 2026, up from \$77.5 billion in 2025 [1]. This reflects the location of its major direct customers, including cloud service providers and AI model makers, who drive demand for Compute & Networking products [7]. The concentration of revenue among a few large direct customers—one representing 22% and another 14% of total revenue in 2026—underscores NVIDIA's reliance on a limited customer base [7]. This customer concentration can amplify revenue volatility but also indicates strong strategic partnerships that could secure recurring demand if maintained.

NVIDIA's revenue model is supported by a complex supply chain involving wafer fabrication, assembly, and testing, with gross margins affected by transitions in product offerings and inventory provisions [8]. The shift from Hopper HGX to Blackwell full-scale datacenter solutions caused a margin decline, compounded by a \$4.5 billion charge for excess inventory [6][8]. This suggests NVIDIA's business model is capital intensive and sensitive to product cycle timing and inventory management. While the company has demonstrated growth in operating income alongside revenue expansion [2][4][5], sustaining profitability will require careful balancing of supply chain risks and continued innovation to justify premium pricing.

- Compute & Networking segment generated \$193.5 billion in fiscal 2026, representing ~90% of total revenue, indicating NVIDIA's core focus on AI and data center solutions [2].
- Data Center revenue reached \$193.7 billion in fiscal 2026, driven by accelerated computing and AI platform demand, highlighting enterprise reliance [3][6].
- Gaming revenue grew 41% to \$16 billion but remains a smaller portion, reflecting a strategic shift away from consumer markets [3][6].
- Revenue concentration in the U.S. at \$149.6 billion (69% of total) shows dependence on major cloud and AI customers headquartered there [1][7].
- Two direct customers accounted for 36% of total revenue in 2026, underscoring customer concentration risk but also strong strategic partnerships [7].
- Gross margin declined to 71.1% due to product transitions and a \$4.5 billion inventory charge, indicating supply chain and product cycle sensitivity [6][8].

What it means. NVIDIA's business model, heavily reliant on its Compute & Networking segment and a concentrated customer base in AI-driven data centers, offers strong growth potential but requires managing supply chain risks and customer concentration to sustain profitability.

Sources cited above.

- [1] FY2026 Annual Report (10-K) - Item 15 -Exhibits and Schedules - p.78
- [2] FY2026 Annual Report (10-K) - Item 15 -Exhibits and Schedules - p.77
- [3] FY2026 Annual Report (10-K) - Item 15 -Exhibits and Schedules - p.79
- [4] Q22026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.26
- [5] Q32026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.27
- [6] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37
- [7] FY2026 Annual Report (10-K) - Item 15 -Exhibits and Schedules - p.78
- [8] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.41

FINANCIAL PERFORMANCE

NVIDIA's fiscal 2026 revenue surged 65% driven by AI and accelerated computing, but margin pressure and rising expenses challenge sustainability.

NVIDIA's revenue grew 65% to \$215.9 billion in fiscal 2026, propelled by 68% growth in Data Center and 41% growth in Gaming segments, reflecting strong demand for AI and Blackwell platforms [1][2]. This indicates the company's successful capture of major platform shifts, suggesting a robust revenue base tied to AI acceleration. However, the sustainability of this growth depends on continued innovation and supply chain stability, as management warns of supply constraints impacting Gaming in fiscal 2027 [2].

Gross margin declined by 3.9 percentage points to 71.1% due to a business model shift from Hopper HGX to Blackwell full-scale datacenter solutions and a \$4.5 billion charge for H2O excess inventory and purchase obligations [1][6]. This margin compression signals transitional costs and inventory management challenges that could pressure profitability if not resolved. The persistence of margin pressure hinges on successful inventory optimization and the ability to scale Blackwell solutions efficiently without incurring similar charges.

Operating expenses rose 41% to \$23.1 billion, driven by higher compensation from employee growth and increased compute and infrastructure costs [1][4]. Despite this, operating income increased 60% to \$130.4 billion, reflecting strong operating leverage from revenue growth [1]. The elevated expense base may limit margin expansion, but if revenue growth continues to outpace expense increases, operating leverage could sustain profit growth. Monitoring expense control alongside growth will be critical to maintaining this dynamic.

NVIDIA's net income rose 65% to \$120.1 billion, with diluted net income per share up 67% to \$4.90, supported by strong operating performance and other income gains [1][3]. Free cash flow also improved significantly, reaching \$34.9 billion, indicating strong cash generation capacity [5]. This financial strength provides flexibility for investment and shareholder returns, but sustaining such profitability will require managing margin headwinds and capitalizing on growth opportunities without excessive cost escalation.

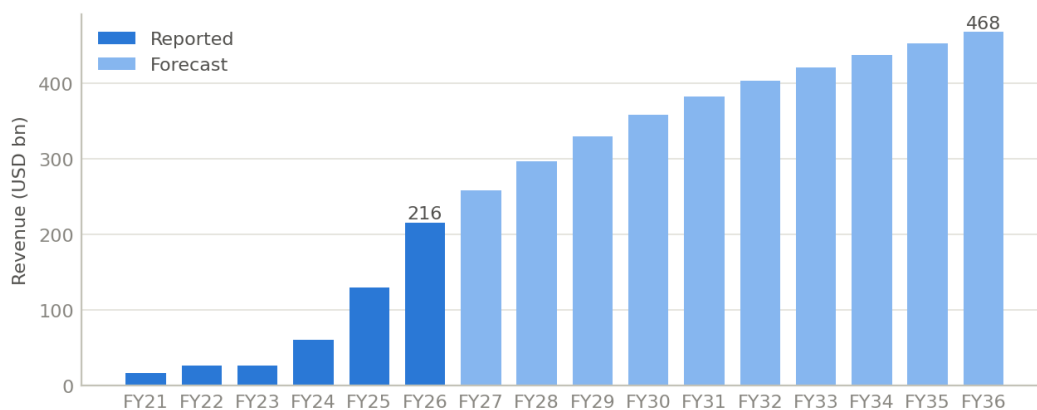
- 65% revenue growth to \$215.9 billion driven by AI and Data Center demand shows NVIDIA's strong market capture in growth segments [1][2].
- Gross margin fell 3.9 points to 71.1% due to transition to Blackwell solutions and a \$4.5 billion inventory charge, indicating margin pressure from strategic shifts and inventory risks [1][6].
- Operating expenses increased 41% to \$23.1 billion, reflecting higher compensation and infrastructure costs, which could constrain margin expansion despite revenue growth [1][4].
- Operating income rose 60% to \$130.4 billion, demonstrating operating leverage but dependent on controlling rising expenses [1].
- Net income and diluted EPS increased by 65% and 67% respectively, supported by strong revenue growth and other income, underpinning robust profitability [1][3].
- Free cash flow of \$34.9 billion highlights strong cash generation, providing financial flexibility for growth and capital allocation [5].

What it means. NVIDIA's strong revenue and profit growth driven by AI and datacenter demand is tempered by margin pressure and rising costs, making expense control and inventory management key to sustaining its financial momentum.

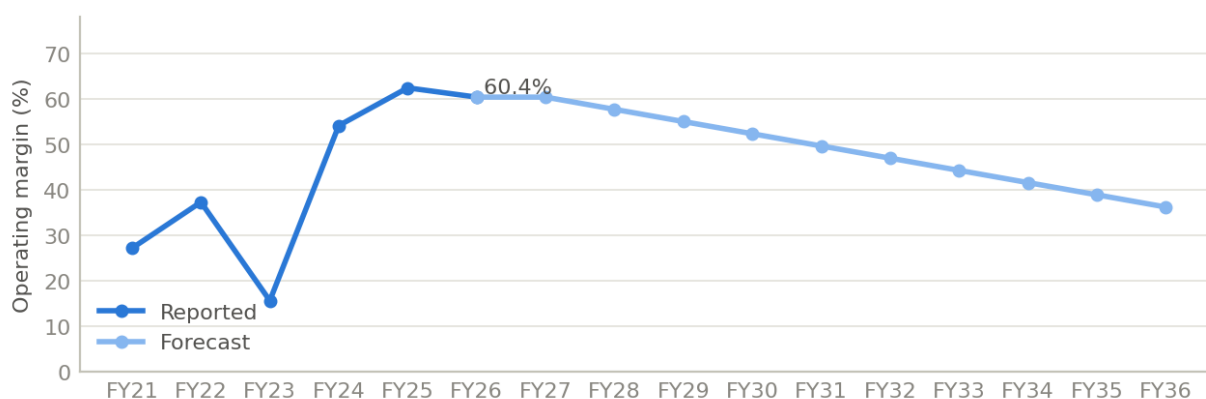
Sources cited above.

- [1] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37
- [2] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37
- [3] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.40
- [4] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.41
- [5] FY2026 Earnings Release - RECONCILIATION OF GAAP TO NON-GAAP FINANCIAL MEASURES - p.12
- [6] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.41
- [7] FY2026 Earnings Release - Non-GAAP Measures - p.5

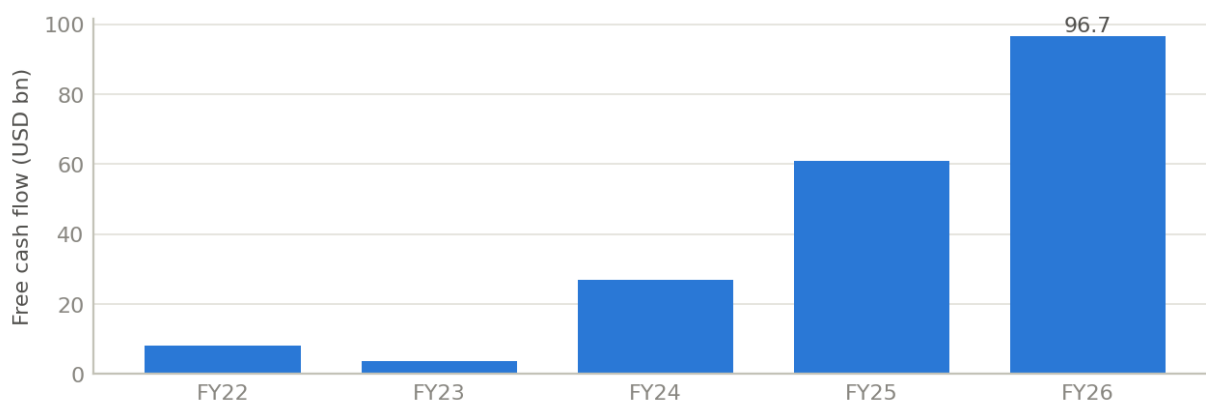
Revenue: reported and forecast



Operating margin



Free cash flow



Fiscal year	Revenue	Growth	Op. income	Op. margin	Net income	FCF
FY2021	16.7bn	-	4.5bn	27.2%	4.3bn	-
FY2022	26.9bn	61.4%	10.0bn	37.3%	9.8bn	8.1bn
FY2023	27.0bn	0.2%	4.2bn	15.7%	4.4bn	3.8bn
FY2024	60.9bn	125.9%	33.0bn	54.1%	29.8bn	27.0bn
FY2025	130.5bn	114.2%	81.5bn	62.4%	72.9bn	60.9bn
FY2026	215.9bn	65.5%	130.4bn	60.4%	120.1bn	96.7bn

Figures in USD. Source: company filings.

GROWTH DRIVERS

NVIDIA's revenue growth is driven by AI platform demand and supply chain expansion, but product transitions and manufacturing scale pose risks to sustainability.

NVIDIA's fiscal 2026 revenue surged 65% year-over-year to \$215.9 billion, propelled by accelerated computing and AI platform shifts, with Data Center revenue up 68% and Gaming revenue rising 41% due to Blackwell demand [1]. This indicates that NVIDIA's core growth engine is firmly rooted in AI-driven data center products and next-generation gaming GPUs, reflecting strong market adoption of its Blackwell architecture. However, the sustainability of this growth depends on continued innovation and market acceptance of these platforms, as well as the ability to manage supply constraints that are already expected to impact Gaming revenue in fiscal 2027 [1].

The company is actively increasing U.S.-based manufacturing capacity and investing in specialized equipment to support domestic production, aiming to strengthen supply chain resilience and meet growing AI infrastructure demand [2][8]. This strategic move addresses current supply constraints and positions NVIDIA to better control production volumes and timelines. Yet, the success of this expansion hinges on the broader domestic manufacturing ecosystem's ability to scale efficiently and on time, which remains uncertain and could limit NVIDIA's ability to capitalize fully on AI demand growth [2][5][8].

NVIDIA faces complexity from accelerated product transitions, with multiple architectures shipping simultaneously across Data Center, Gaming, Professional Visualization, and Automotive segments [5]. While this cadence aims to capture diverse AI opportunities annually, it introduces volatility in revenue and supply chain management, as customers may delay purchases anticipating new architectures or struggle to adopt them quickly. This dynamic could intermittently disrupt revenue growth and margin stability, especially if quality or production issues arise, as seen with prior inventory provisions related to Blackwell material [1][5]. The company's ability to execute these transitions smoothly is critical to sustaining its growth trajectory.

Forward-looking statements emphasize exponential growth in compute demand and AI ecosystem expansion, with products like Grace Blackwell and Vera Rubin expected to extend NVIDIA's leadership in inference and training performance [3][4][6][7]. Enterprise adoption of AI agents is described as skyrocketing, suggesting a broadening customer base and deeper integration of NVIDIA's technologies. However, these projections are subject to risks including geopolitical factors, supply chain dependencies, and competitive pressures that could materially alter outcomes [3][4][6][7]. The durability of these growth drivers will depend on NVIDIA's capacity to innovate, scale production, and navigate external uncertainties.

- 65% revenue growth in fiscal 2026 driven by AI and accelerated computing signals strong market demand but supply constraints threaten Gaming segment growth [1].
- U.S.-based manufacturing investments aim to mitigate supply chain risks and support AI infrastructure demand, yet depend on ecosystem scalability [2][8].
- Frequent product transitions increase revenue volatility and operational complexity, risking delays and inventory costs if not managed effectively [5].
- Blackwell architecture's strong adoption underpins Data Center and Professional Visualization growth, but margin pressure from product mix changes and inventory charges may persist [1].
- Exponential compute demand and enterprise AI adoption forecast sustained growth, contingent on successful product innovation and external risk management [3][4][6][7].

What it means. NVIDIA's growth is anchored in AI platform leadership and supply chain expansion, but investors should monitor execution risks from product transitions and manufacturing scale that could affect revenue consistency.

Sources cited above.

- [1] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37
- [2] Q22026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.25
- [3] Q22026 Earnings Release (8-K) - p.5
- [4] Q32026 Earnings Release (8-K) - p.5
- [5] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.16
- [6] Q42026 Earnings Release (8-K) - p.6
- [7] FY2026 Earnings Release - NVIDIA Corporation - p.6
- [8] Q32026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.26

COMPETITIVE POSITION

NVIDIA faces intensifying competition from established and emerging players, with its competitive edge reliant on innovation, supply chain resilience, and strategic partnerships.

NVIDIA operates in a highly competitive market with rivals spanning hardware providers like AMD, Intel, and Huawei, cloud service companies such as Amazon and Microsoft, and internal teams within large customers developing their own AI and computing solutions [1]. This breadth of competition pressures NVIDIA to continuously innovate and maintain product performance, pricing, and feature leadership to retain market share. The presence of competitors with greater resources and manufacturing capabilities suggests that NVIDIA's competitive advantage is not guaranteed and requires ongoing investment in technology and customer relationships to sustain.

Export controls and geopolitical factors have already impaired NVIDIA's competitive position, particularly in China and other restricted regions, where customers are incentivized to choose local suppliers [3]. These regulatory constraints increase the risk of losing market share in key growth markets and complicate supply chain management. Unless these restrictions are eased or NVIDIA successfully diversifies its manufacturing footprint beyond Asia, these challenges will persist and could erode its global competitiveness over time.

NVIDIA's reliance on a limited number of large customers and partners, with one customer accounting for 22% of revenue and another 14% in fiscal 2026, concentrates risk in its sales channels [5]. While these relationships enable scale and distribution, they also expose NVIDIA to shifts in partner strategies or customer in-house development that could reduce demand. The sustainability of NVIDIA's competitive position depends on maintaining strong partner ecosystems and adapting to evolving customer procurement behaviors.

The company's fabless manufacturing model, dependent on third-party foundries like TSMC and Samsung, allows focus on design and innovation but introduces supply chain vulnerabilities, including long lead times and premium costs to secure capacity [6][2]. NVIDIA's efforts to build supply chain resilience and geographic diversification are critical to sustaining product availability and competitive pricing. Failure to manage these supply constraints could undermine its ability to meet demand and compete effectively.

- NVIDIA's competitors include AMD, Intel, Huawei, and cloud giants like Amazon and Microsoft, indicating multi-front competition [1].
- Export controls have already harmed NVIDIA's position in China, with potential for further erosion if restrictions persist or expand [3].
- Two customers represented 36% of NVIDIA's revenue in fiscal 2026, highlighting concentration risk in sales [5].
- Long manufacturing lead times exceeding 12 months and premium payments to secure capacity increase costs and operational risk [2][6].
- Supply chain is currently Asia-centric but expanding to the U.S. and Latin America to mitigate geopolitical and operational risks [6].

What it means. NVIDIA's competitive position is challenged by resourceful rivals and geopolitical risks, making sustained innovation, supply chain agility, and partner management essential for preserving its market leadership and investment appeal.

Sources cited above.

- [1] FY2026 Annual Report (10-K) - Item 1 -Business - p.8
- [2] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.14
- [3] FY2026 Annual Report (10-K) - Item 1 -Business - p.10
- [4] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.38
- [5] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.23
- [6] FY2026 Annual Report (10-K) - Item 1 -Business - p.8
- [7] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37
- [8] FY2026 Annual Report (10-K) - Item 7A -Market Risk Disclosures - p.44

OUTLOOK

NVIDIA's aggressive capital return and disciplined investment strategy signal confidence in sustained cash flow and shareholder value creation amid cautious revenue guidance.

NVIDIA's Board authorized an additional \$60 billion in share repurchases in August 2025, and the company repurchased 282 million shares for \$40.4 billion in fiscal 2026, returning 43% of free cash flow to shareholders through buybacks and dividends totaling \$41 billion. This level of capital return indicates management's confidence in the company's robust cash generation and a strategic focus on offsetting dilution and enhancing shareholder value. The sustainability of this capital return hinges on continued strong operating cash flow and market conditions that allow opportunistic repurchases without compromising liquidity [1][4][6].

The company maintains a substantial liquidity position with \$62.6 billion in cash, equivalents, and marketable securities as of January 2026, supporting its operating requirements and capital allocation plans. This liquidity buffer provides flexibility to pursue share repurchases and investments while managing tax and regulatory considerations, such as the 1% excise tax on certain repurchases under the U.S. Inflation Reduction Act. The durability of this liquidity depends on ongoing revenue growth and prudent cash management, with potential risks arising from unexpected capital needs or market disruptions [1][2][3].

NVIDIA's outlook for fiscal 2027 includes expected revenue of \$78 billion, driven primarily by Data Center growth, though notably excluding any Data Center compute revenue from China. Gross margins are projected to remain in the mid-70% range, reflecting operational efficiency and pricing power. This guidance suggests management anticipates continued demand in key segments but remains cautious about geopolitical and regulatory headwinds. The persistence of these margins and growth depends on maintaining technological leadership and navigating international market restrictions [6].

Management's approach to capital allocation balances aggressive shareholder returns with disciplined investment in technology and ecosystem development to drive long-term growth. The inclusion of stock-based compensation in non-GAAP results signals transparency and an emphasis on talent retention as a growth enabler. This strategy appears sustainable if free cash flow generation remains strong and market opportunities justify continued investment, but could be challenged by shifts in competitive dynamics or macroeconomic conditions [6].

- \$60 billion additional share repurchase authorization signals strong confidence in cash flow sustainability and shareholder returns [1][4][7].
- \$41 billion returned to shareholders in fiscal 2026, representing 43% of free cash flow, underscores a commitment to capital discipline and value creation [6].
- \$62.6 billion liquidity position ensures operational flexibility and supports ongoing capital return and investment activities [1].
- Fiscal 2027 revenue guidance of \$78 billion, excluding China Data Center compute revenue, reflects cautious optimism amid geopolitical uncertainties [6].
- Gross margin guidance in the mid-70% range indicates sustained pricing power and operational efficiency [6].
- Inclusion of stock-based compensation in non-GAAP results highlights focus on talent retention as a strategic growth pillar [6].

What it means. NVIDIA's robust cash generation and disciplined capital allocation underpin a shareholder-friendly outlook, but sustained growth and margins depend on navigating geopolitical risks and maintaining technological leadership.

Sources cited above.

- [1] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.43
- [2] Q22026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.30
- [3] Q12026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.28
- [4] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.43
- [5] Q32026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.31
- [6] Q42026 Quarterly Report - Corrected Transcript - p.6
- [7] Q32026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.41
- [8] Q12026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.36

KEY RISKS

The risks most material to the investment case, ranked by how much damage each would do — not by filing order. Each carries what it hits, what it does to our fair value, and the single indicator to watch for it starting.

Risk	Likelihood	Financial impact	Valuation impact	What to watch
Export Controls Disrupting China Sales US and Chinese export restrictions limit NVIDIA's ability to sell high-margin data center GPUs in China, reducing revenue and increasing inventory risk.	High - ongoing and expanding	Data center segment revenue exposure to China is significant; a 20% reduction in data center sales (~40% of total revenue) could reduce total revenue by ~8%, materially impacting earnings.	Could reduce intrinsic fair value by up to 30% from base case (USD 42.46 to ~USD 30), given the segment's high margin and growth contribution.	Quarterly revenue growth rate in China and data center segment sales to China reported in geographic disclosures.

Risk	Likelihood	Financial impact	Valuation impact	What to watch
Compliance Costs and Operational Burdens from Export Controls Repeated changes in export control rules increase compliance costs and operational complexity, reducing margins and slowing product launches.	Medium - regulatory environment evolving	Could compress operating margin by 5-10 percentage points on data center and networking segments, which together represent over 50% of revenue, reducing operating income by up to 15%.	Margin compression could lower fair value by approximately 15-20%, moving base case from USD 42.46 down to ~USD 34.	Rising SG&A; and R&D; expenses as a percentage of revenue, disclosed compliance-related costs.
China Antitrust Penalties and Restrictions Chinese regulators' preliminary findings on Mellanox acquisition compliance may lead to fines or restrictions, limiting NVIDIA's networking business growth in China.	Medium - regulatory investigation ongoing	Networking segment revenue (~10-15% of total) could decline by 30% in China, reducing overall revenue by ~3-4%, with additional penalty costs possible.	Could reduce fair value by 5-10%, lowering base case from USD 42.46 to approximately USD 38-40.	Official regulatory announcements or fines related to Mellanox acquisition compliance.
Supply Chain Disruptions from Export Restrictions Export controls restrict access to critical manufacturing equipment and technology, delaying product shipments and increasing costs.	Medium - supply chain sensitive to controls	Delays could reduce revenue growth by 5-10% annually in key segments and increase cost of goods sold, impacting gross margin by 2-3 percentage points.	Could reduce fair value by 10%, lowering base case from USD 42.46 to ~USD 38.	Lengthening inventory days and supply chain lead times reported in quarterly disclosures.

COMPETITIVE MOAT

Moat rating: Narrow

NVIDIA's moat primarily stems from its CUDA ecosystem and broad platform adoption, which provide some switching costs and network effects; however, increasing competition and potential new entrants challenge the durability of these advantages, making the very high terminal margin of 36.2% difficult to fully defend over the long term.

Sources of advantage:

- CUDA ecosystem as a widely adopted accelerated computing platform embedded in every major cloud, computer maker, edge device, and increasingly in telecom and AI-driven radios
- Strong partnerships with leading AI companies such as OpenAI, Anthropic, Meta, and extensive support for open source AI models running on NVIDIA hardware
- Platform fungibility and flexibility enabling diverse AI workloads (language, vision, robotics, biology, physics), which broadens customer base and use cases
- Scale and integration of specialized hardware (Tensor cores) combined with software (CUDA) creating a performance and usability advantage

Threats to the moat:

- Emergence of new competitors or alliances offering lower-priced or better-performing products
- Potential loss of ecosystem momentum if alternative platforms gain traction or if customers shift to more open or standardized solutions
- Technological innovation risk where competitors develop specialized processors or software platforms that erode NVIDIA's performance or flexibility advantage
- Supply chain or quality challenges impacting NVIDIA's ability to deliver consistent volumes at competitive prices

MANAGEMENT SAYS VS OUR VIEW

Where our modelled view meets management's own. The rows that matter are the ones where we are more cautious than the company.

Topic	Management says	Our view	Our take
Ecosystem strength and platform ubiquity	CUDA is the only accelerated computing platform available in every cloud, computer maker, edge device, and telecom, supporting a vast AI ecosystem.	We acknowledge the ecosystem advantage but view it as vulnerable to competition and not fully defensible indefinitely.	Aligned

Topic	Management says	Our view	Our take
Terminal operating margin sustainability	The platform and ecosystem investments create a durable competitive advantage supporting high margins.	We model a significantly lower valuation and are skeptical that the 36.2% terminal margin is sustainable given competitive pressures.	More cautious
Revenue growth outlook	The ecosystem and partnerships enable continued strong growth across diverse AI applications.	We model 20% year-1 revenue growth, reflecting optimism but tempered by competitive risks and market saturation concerns.	Aligned
Competitive threats	Competition is increasing from existing and new entrants with potentially lower prices or better features.	We incorporate these competitive threats as key risks that limit moat durability and margin sustainability.	Aligned

UPCOMING CATALYSTS

The dated events most likely to move the stock, the direction each points, and the figure it would move. These are when the thesis gets tested.

Event	Timing	Direction	Moves
Q3 FY2026 Earnings Release	Late August 2026	Two-sided	Quarterly revenue growth rate
US Government Replacement Export Control Rule Announcement	Expected by Q4 FY2026 (calendar Q4 2026)	Two-sided	Regulatory impact on data center product sales
Blackwell Ultra Platform Production Ramp Update	Q4 FY2026 (October-December 2026)	Positive	Supply chain and production volume for GB300 and related products
Announcement of U.S.-based Manufacturing Capacity Expansion Progress	Q1 FY2027 (January-March 2027)	Positive	Manufacturing output capacity and supply chain resiliency

WHAT TO WATCH

The metrics the valuation is most exposed to, with what our thesis expects each to do — so a reader can tell when reality diverges from our view.

Metric	Current	Trend	What we expect	Why it matters
Quarterly revenue growth	65% YoY in FY2026	Decelerating from prior FY2025 (114%) and FY2024 (126%)	20% YoY growth in FY2027	Revenue growth is the primary driver of valuation; current price implies 32.4% CAGR vs our 8.0%
Operating margin	Not explicitly stated, terminal margin expected at 36.2%	Stable to improving with product transitions	36.2% terminal operating margin	Operating margin expansion supports fair value; margin pressure from supply chain or warranty costs would hurt valuation
Supply chain stability and inventory provisions	Risks noted due to product transitions and complex configurations	Potential volatility	Improved supply chain stability with U.S. manufacturing ramp	Supply chain disruptions could cause revenue volatility and margin compression, impacting valuation
Adoption rate of Blackwell Ultra platforms (GB300)	Initial shipments began Q2 FY2026	Early stage ramp	Significant volume ramp in FY2027	Successful adoption drives revenue growth and margin expansion
Impact of open-source AI model adoption on platform demand	Increasing importance of open-source AI noted	Potential risk if competitors gain developer adoption	NVIDIA maintains or grows platform influence	Platform demand affects long-term revenue growth assumptions
Regulatory environment clarity and impact	Uncertainty due to replacement export control rule	Awaiting clarity	Minimal adverse impact on data center product sales	Regulatory restrictions could materially reduce addressable market and revenue

HOW WE REACH THE NUMBER

The headline figure reconciles several independent valuations, each weighted by the confidence it earns — the analyst consensus by how many analysts stand behind it. Every source is shown so the blend is auditable: our intrinsic DCF is one voice, the market's consensus another.

Source	Value / share	Weight	Detail
Intrinsic DCF	USD 42.46	1.0	Discounted free cash flow on audited figures; this model's own estimate
Analyst consensus	USD 300.00	3.0	58 analysts; median USD 300.00; mean USD 302.83; range USD 180–500

Blended fair value USD 235.62 (+8.4% vs price). Reconciled from USD 42.46 to USD 300.00 across sources.

WHAT IS PRICED IN

A DCF whose fair value sits below the price is easy to dismiss as the model being wrong. Inverting it is harder to dismiss: holding every other driver at our base case, we solve for the level of each one that would return today's price of USD 217.34. Each row is a single, checkable claim about what the market must believe — judge it against the company's own history.

Driver	Our base case	Priced in at USD 217.34	Gap
Revenue CAGR (10-year)	8.0%	32.4%	+24.3pp
Operating margin (mature)	36.2%	—	—
FCF margin (mature)	30.0%	—	—
Terminal growth	2.5%	13.0%	+10.5pp

Operating margin (mature). Even a 100%-of-revenue operating margin — the theoretical ceiling — does not reach the price; it cannot be justified on margin alone.

FCF margin (mature). Even at zero capital spending — the ceiling on cash conversion — the implied cash margin cannot reach the price.

Terminal growth. Above long-run GDP growth — it implies the company outgrows the economy forever.

Read together, these are what the price assumes if the market is right about everything else. A gap the company has never closed in its own history is the risk in owning it here; a dash means the price cannot be reached on that lever alone.

DISCOUNTED CASH FLOW

Year	Revenue	Growth	Op. margin	Free cash flow	Present value
FY2027	259.1bn	20.0%	60.4%	123.0bn	107.4bn
FY2028	297.3bn	14.8%	57.7%	137.1bn	104.4bn
FY2029	330.3bn	11.1%	55.0%	147.0bn	97.7bn
FY2030	358.4bn	8.5%	52.3%	153.1bn	88.8bn
FY2031	382.4bn	6.7%	49.6%	156.0bn	78.9bn
FY2032	403.2bn	5.4%	47.0%	156.2bn	68.9bn
FY2033	421.6bn	4.6%	44.3%	154.4bn	59.5bn
FY2034	438.2bn	3.9%	41.6%	150.9bn	50.7bn
FY2035	453.6bn	3.5%	38.9%	146.1bn	42.9bn
FY2036	468.1bn	3.2%	36.2%	140.3bn	35.9bn

SEGMENT FORECAST: A BOTTOM-UP CROSS-CHECK

The headline DCF grows total revenue top-down. This forecasts each reportable segment on its own trajectory and sums them, as a check on that single blended number. The headline valuation is unchanged; this is the stress-test on its central assumption.

Segment	Revenue FY2026	Yr-1 growth	10y CAGR	Revenue FY2036
Compute & Networking	193.5bn	66.5%	21.9%	1.4tn
Graphics	22.5bn	57.0%	19.1%	129.2bn
Bottom-up total	215.9bn	-	21.6%	1.5tn

The reported segments sum to USD 215.9bn, within 0% of total revenue — a clean bottom-up build. Summed bottom-up, the segments imply a 22% total CAGR — 14pp above the 8% our top-down DCF assumes. That gap is where the growth debate on this name actually sits.

SCENARIOS: BEAR, BASE, BULL

Three coherent states of the world. Unlike the sensitivity grid, each scenario moves growth, margin, terminal growth and the discount rate **together**. The bear-to-bull spread is sized from this company’s own historical volatility, not a fixed percentage.

Scenario	Yr-1 growth	Term. margin	Term. growth	WACC	Fair value	vs price	Weight
Bear case	2.0%	24.2%	2.0%	16.1%	USD 21.65	-90%	25%
Base case	20.0%	36.2%	2.5%	14.6%	USD 42.46	-80%	50%
Bull case	40.0%	48.2%	3.0%	13.1%	USD 93.37	-57%	25%

Probability-weighted value USD 49.99 (-77.0% vs price). Range USD 21.65 to USD 93.37, a spread of 169% of the base value. Read as a range, not a point.

Bear case. Demand softens and competition bites: year-one growth slows to 2%, the sustainable operating margin settles near 24%, and the market prices the added risk through a 16.1% discount rate. Growth spread +/-20pp (one standard deviation of 5 years of revenue growth); margin spread +/-12pp (one standard deviation of 6 years of operating margin); discount rate +/-2bps; terminal growth +/-0bps.

Base case. The central case, identical to the headline DCF: year-one growth of 20% decaying toward 2.5%, a terminal margin of 36%, discounted at 14.6%.

Bull case. Growth proves durable and operating leverage plays out: year-one growth holds at 40%, margins recover toward 48%, and an easing risk premium lowers the discount rate to 13.1%. Growth spread +/-20pp (one standard deviation of 5 years of revenue growth); margin spread +/-12pp (one standard deviation of 6 years of operating margin); discount rate +/-2bps; terminal growth +/-0bps.

ASSUMPTIONS

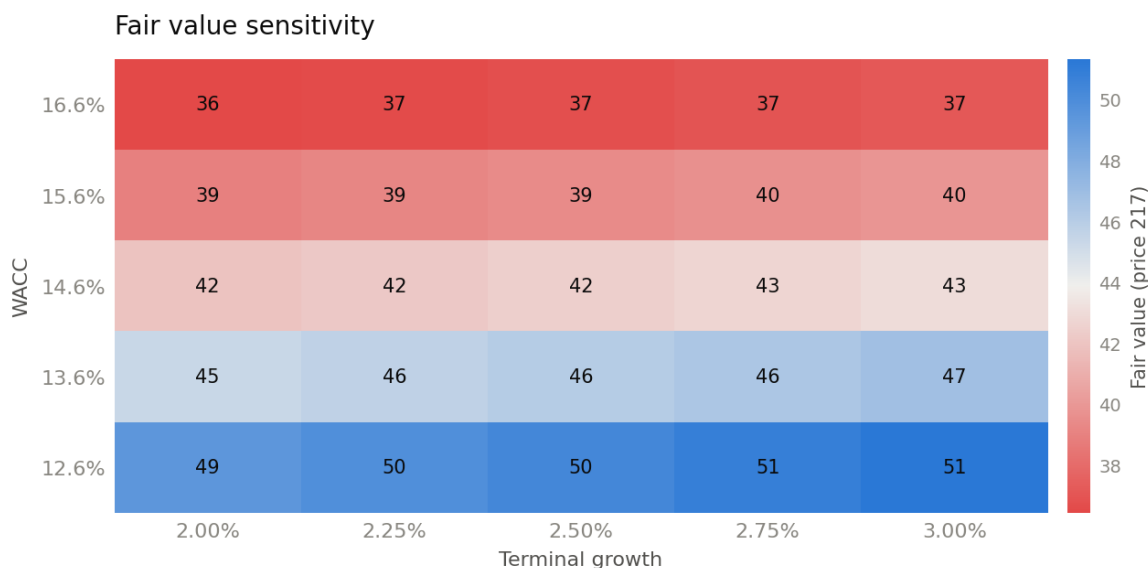
Every input to the model, how it was derived, and why. Inputs marked **bounded** were proposed by the language model and constrained to a range supported by reported history before entering the calculation.

Assumption	Value	Basis	Derivation
Risk-free rate	4.6%	Live market data	US 10-year Treasury yield (^TNX), latest close
Equity risk premium	5.5%	Standard default	Standard premium for US
Beta (Blume-adjusted)	1.81x	Live market data	Five-year raw beta 2.21, Blume-adjusted (0.67 x 2.21 + 0.33 x 1.00) = 1.81
Effective tax rate	13.5%	Derived from filings	Mean of tax expense / pre-tax income for FY2024-FY2026

Assumption	Value	Basis	Derivation
Cost of equity	14.6%	Derived from filings	CAPM: 4.64% + 1.81 x 5.50%
Pre-tax cost of debt	6.1%	Standard default	Risk-free 4.64% + 1.5% investment-grade spread
WACC (discount rate)	14.6%	Derived from filings	100% equity x 14.62% + 0% debt x 6.14% x (1 - 13%)
Terminal growth rate	2.5%	Model estimate (bounded)	Model estimate 2.5%, bounded to [1%, 4%]
Year 1 revenue growth	20.0%	Model estimate (bounded)	Model estimate 20%, bounded to [2%, 65%] from reported growth of 65%
Terminal operating margin	36.2%	Model estimate (bounded) (bounded)	Model estimate 30.0%, normalised down from today's 60.4%; kept within a maturity band of [36.2%, 62.4%] (floor 60% of current, ceiling the demonstrated peak)
Explicit forecast period	10	Standard default	10-year explicit forecast, then a perpetuity
D&A; as % of revenue	1.7%	Derived from filings	Three-year mean of depreciation and amortisation over revenue
Capex as % of revenue	2.3%	Derived from filings	Three-year mean of capital expenditure over revenue
Incremental working capital	25.0%	Derived from filings	Median change in working capital over change in revenue across 3 year(s) with material revenue growth, capped at 25%

SENSITIVITY

Fair value per share across the discount rate and terminal growth rate. Cells above the current market price are blue, below are red.



COMPARABLE COMPANIES

Company	Market cap	P/E	EV/EBITDA	EV/Sales
Advanced Micro Devices, Inc. (AMD)	759.8bn	118.7x	81.8x	18.9x
Broadcom Inc. (AVGO)	1.7tn	59.9x	44.0x	24.6x
Intel Corporation (INTC)	486.7bn	-	31.1x	9.2x
QUALCOMM Incorporated (QCOM)	168.8bn	18.6x	14.6x	4.0x
Taiwan Semiconductor Manufacturing Company Limited (TSM)	2.1tn	30.6x	4.7x	3.3x

Implied value applies the peer median P/E of 45.3x to trailing EPS of 4.90.

MODEL NOTES AND LIMITATIONS

- The analyst consensus (USD 300.00) sits 606% above our intrinsic DCF (USD 42.46). The blended value reconciles the two; read it as a triangulation, not a precise number.

- At USD 217.34 the price sits above even the bull case (USD 93.37); the market is pricing assumptions more optimistic than any of the three scenarios.
- The bull-to-bear range spans 169% of the base fair value, so the valuation depends heavily on which scenario plays out and should be read as a range rather than a point.
- Terminal operating margin was constrained to 36.2% (estimate was 30.0%).
- Financial statement figures are taken from SEC XBRL company facts (the company's own tagged filing data).

SOURCE DOCUMENTS

Every statement in this report is drawn from the documents below.

Q12027 Quarterly Report (10-Q) · filed 2026-05-20

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000052/nvda-20260426.htm>

Q12027 Earnings Release (8-K) · filed 2026-05-20

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000051/q1fy27pr.htm>

Q12027 Investor Presentation

https://s201.q4cdn.com/141608511/files/doc_financials/2027/Q127/NVDA-F1Q27-Quarterly-Presentation-FINAL.pdf

Q42026 Earnings Release (8-K) · filed 2026-02-25

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000019/q4fy26pr.htm>

Q42026 Quarterly Report

https://s201.q4cdn.com/141608511/files/doc_financials/2026/q4/NVDA-Q4-2026-Earnings-Call-25-February-2026-5_00-PM-ET.pdf

Q32026 Quarterly Report (10-Q) · filed 2025-11-19

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000230/nvda-20251026.htm>

Q32026 Earnings Release (8-K) · filed 2025-11-19

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000228/q3fy26pr.htm>

Q22026 Quarterly Report (10-Q) · filed 2025-08-27

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000209/nvda-20250727.htm>

Q22026 Earnings Release (8-K) · filed 2025-08-27

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000207/q2fy26pr.htm>

Q12026 Quarterly Report (10-Q) · filed 2025-05-28

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000116/nvda-20250427.htm>

FY2026 Annual Report (10-K) · filed 2026-02-25

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000021/nvda-20260125.htm>

FY2026 Earnings Release

<https://fortune.com/company-assets/1936/quatr/earnings-release-8-k-73c0d-2026-02-25-09-17-32.pdf>

Q42025 Investor Presentation

https://s201.q4cdn.com/141608511/files/doc_financials/2025/q4/NVDA-F4Q25-Quarterly-Presentation-FINAL.pdf

FY2025 Annual Report (10-K) · filed 2025-02-26

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000023/nvda-20250126.htm>

FY2024 Annual Report (10-K) · filed 2024-02-21

<https://www.sec.gov/Archives/edgar/data/1045810/000104581024000029/nvda-20240128.htm>

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